

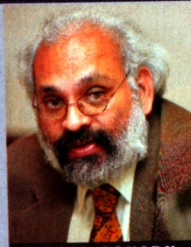
cut but loan waiver is a big negative.



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● Nothing highly damaging has been done in this Budget which is a good thing in itself.

● Countercyclical fiscal policy, demand stimulus to address slowdown, inclusive measures through health & education.

● Rural safety net, lower taxes, movement towards GST, neutralised the Left with hike in short-term cap gains tax.

● Loan waiver for farmers without the creation of income generating opportunities.

● Inability to deliver increased spend on infrastructure as promised in the first year of 11th Plan.

● Loan waiver for farmers not been provided for and will have implications for banking system.

● NA

● Tax bonanza without compressing government expenditure, loan waiver minus addressing of issues that lead to debt.

● Mismatch between announcements and achievements on critical expenditures has not been addressed.

Inflation **5%**
Interest **7.7%**
Rs-\$ rate **38**
GDP growth **8%**

Inflation **5%**
Interest **7%**
Rs-\$ rate **40**
GDP growth **8%**

Inflation **4.5%**
Interest **7.5%**
Rs-\$ rate **38.75**
GDP growth **8.5%**

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ically bad. The corporate tax is today our single biggest tax. We are all feeling good about it today because corporate profitability is buoyant. But when a downturn comes, we will have tremendous fiscal stress.

Bery: Does a government behave like this when it expects to return or when it does not expect to return?

Chawla: The last budget of a government becomes the last nail in its coffin because no government returns after presenting it. That is the history. The people who make the budget are disconnected from reality and this Budget reflects that reality.

Shah: If there was a big idea, it was fiscal consolidation. I think in a very difficult coalition, the minister fought for it. The UPA could have made the call of ignoring FRBM, of letting the tax information network languish and so on. So, credit it to them that they stayed on the trajectory. These are very difficult matters of administration and implementation.

Debroy: I do not buy this argument about being constrained because of coalition politics. If I list out enough constraints, every silly policy can be made to seem optimal. Second, many of the things that we are crediting the present Government with are, in fact, legacies of things that had happened earlier, including VAT. Yes, sure; they pursued it, but it was a legacy. The growth rate, in my view, was also a legacy because the trigger for it was a drop in the cost of capital that had preceded the coming into power of this Government. The only thing that comes across very clearly is—we must seem to be doing something for the poor. Mr. Chidambaram and everyone else in the system knows that doing something for the poor is not the same thing as seeming to do something for the poor. If you do not introduce fiscal reforms when growth and revenue are good, then when the hell do you do it? This is counter-factual. But, in that part, UPA has been a productive asset and it leaves a legacy which will be very difficult for any future government to emulate.

Roy: If you really look at the process in the last five years, one of the things that has been done is the move towards fiscal consolidation. That is why India's credit rating has gone up. You need to be seen to be doing the right thing if you want your credit ratings to improve, if you want to pay a lower rate of interest on your external borrowings. That is very important. From that point of view, there is a method.

Chawla: In the last five budgets has there been anything for the *aam aadmi*? Were the five budgets of Mr. Chidambaram inclusive—yes or no?

Bery: One of the elements that is distressing about this giveaway now is the asymmetry between the condition of the Centre and the states. We are just making the states a kind of 'second wife' of this whole business where they should be the heart of inclusive growth.

Shah: What is fascinating about UPA is the spin-doctoring, right from the elections of 2004, of how an entire hysteria has been created about poverty and growth and inclusion and I just see it as a conspiracy theory.

Dev: On the unorganised sector—agriculture or NREGS, Right to Information—I think they have started implementing. That way, it might have helped some of them.

Debroy: First, I endorse that the last five budgets have been inclusive. It depends who you mean by *aam*. There is a recognition that the *aam aadmi* is too big. The *aam aadmi*